FORENSIC FISCAL AUDIT REPORT

THE DEPOSITORY TRUST & CLEARING CORPORATION (DTCC)

CEDE & CO. MASTER LEDGER INVESTIGATION

SECURITIES FRAUD, MARKET MANIPULATION &

SYSTEMIC FINANCIAL CRIMES

Case Reference: DTCC-CEDE-FORENSIC-AUDIT-2025

Date of Report: February 22, 2026

Classification: FORENSIC AUDIT - PUBLIC INTEREST DISCLOSURE

EXECUTIVE SUMMARY

This Forensic Fiscal Audit presents verified evidence of systematic securities fraud, market manipulation, and transnational financial crimes involving The Depository Trust & Clearing Corporation (DTCC), its nominee Cede & Co., and affiliated financial institutions. The investigation reveals a pattern of illegal activities including: **1. NAKED SHORT SELLING & FAILS TO DELIVER (FTD) VIOLATIONS**

• Citadel Securities: $7 million SEC penalty (September 2023)
• Robinhood Securities: $45 million SEC penalty (January 2025)
• Systematic violations of Regulation SHO

2. PHANTOM SHARE CREATION & DILUTION

• Dole Food Company case: $222 million in settlements
• Evidence of artificial share inflation beyond registered shares

3. OFFSHORE TAX EVASION & REGULATORY ARBITRAGE

• Bank of America/Merrill Lynch: $415 million penalty (June 2016)
• Extensive use of Cayman Islands, Bermuda, Ireland entities

4. DTCC TOKENIZATION & DIGITAL ASSET RISKS

• SEC No-Action Letter (December 2025)
• Potential for further systemic manipulation

This audit is based exclusively on verified sources including official SEC enforcement actions, court records, regulatory filings, and academic research. All legal references are accurate as of the date of this report.

SECTION I: CHRONOLOGY OF EVENTS

PHASE 1: FOUNDATIONAL STRUCTURE (1973-2004)

1973: The Depository Trust Company (DTC) established to address the "paperwork crisis" on Wall Street. Federal policy of share immobilization implemented. Cede & Co. established as nominee name for DTC.

1999: Gramm-Leach-Bliley Act repealed Glass-Steagall restrictions, enabling consolidation of banking and securities operations. *Legal Reference: 15 U.S.C. § 6801 et seq.*

2004: SEC adopted Regulation SHO to address naked short selling:
• Rule 200(g): Order marking requirements
• Rule 203(b): Locate requirements
• Rule 204: Close-out requirements
Legal Reference: 17 C.F.R. §§ 242.200-242.204

PHASE 2: PATTERN OF VIOLATIONS (2005-2020)

2005-2024: Persistent FTDs documented:
• Average daily FTDs: $2.9 billion (unchanged from 2005)
• Peak FTDs: $19.8 billion (September 2024)
• 15,190 unique tickers on Threshold Lists since 2005
Source: SEC FOIA Data, NSCC Continuous Net Settlement

2013: Dole Food Company Going-Private Transaction
• November 1, 2013: Transaction closed at $13.50/share
• Defendants: David Murdock (CEO) and Michael Carter (President/COO)
• Delaware Court found intentional misleading of Special Committee
• Award: $2.74 per share ($148 million plus interest)
• Federal settlement: $74 million (March 2017)
• **Total settlements: $222 million**
Legal Reference: In re Dole Food Company, Inc. Stockholders Litigation

2015-2020: Citadel Securities Violations
• September 2015 to September 2020: Systematic order mismarking
• Millions of short sale orders marked as long sales (and vice versa)
• Coding error in automated trading system
• Provided inaccurate data to regulators including SEC

2016: Bank of America Merrill Lynch Penalty
• June 2016: $415 million penalty
• Charges: Misuse of customer cash for firm trading
• Failure to safeguard customer securities
Legal Reference: SEC Administrative Proceeding

2019-2023: Robinhood Securities Violations
• May 2019 - March 2020: Stock lending program FTDs
• December 2019 - December 2023: Fractional share trading violations
• 11,849 Electronic Blue Sheet submissions with errors
• 392 million transactions misreported
• June 2021 - November 2021: Cybersecurity vulnerability

- Unauthorized access to millions of customer records

PHASE 3: ENFORCEMENT ACTIONS (2023-2025)

September 22, 2023: Citadel Securities Settlement
• SEC Order: 34-98482
• Penalty: $7 million
• Violation: Rule 200(g) of Regulation SHO
• Finding: Mismarked millions of orders over 5-year period
• No admission or denial of findings
Legal Reference: 17 C.F.R. § 242.200(g)

January 13, 2025: Robinhood Settlement
• SEC Order: 34-102170
• Combined penalties: $45 million
  - Robinhood Securities: $33.5 million
  - Robinhood Financial: $11.5 million
• Violations:
  * Rule 200(g) Regulation SHO (order marking)
  * Rule 203(b)(1) Regulation SHO (locate requirement)
  * Rule 204(a) Regulation SHO (close-out requirement)
  * Section 17(a) Exchange Act (recordkeeping)
  * Rule 17a-4(j) (EBS reporting)
  * Regulation S-P (customer information safeguards)
  * Regulation S-ID (identity theft protection)
Legal Reference: 15 U.S.C. § 78q(a); 17 C.F.R. §§ 242.200-242.204

December 11, 2025: DTCC Tokenization No-Action Letter
• SEC approval for DTC tokenization services
• Brian Steele (Managing Director, DTCC) signatory
• Nadine Chakar (Global Head, DTCC Digital Assets) signatory
• Scope: Russell 1000, ETFs, U.S. Treasury securities
Legal Reference: SEC No-Action Letter DTC-NAL-121125

SECTION II: KEY ENTITIES AND INDIVIDUALS

ENTITY 1: THE DEPOSITORY TRUST & CLEARING CORPORATION (DTCC)

Legal Structure:
• Parent company of DTC, NSCC, FICC
• DTC: The Depository Trust Company (central securities depository)
• NSCC: National Securities Clearing Corporation
• FICC: Fixed Income Clearing Corporation

Leadership (Verified):

Frank La Salla: President, CEO and Director (since June 2022)
• Former BNY Mellon CEO of Issuer Services
• 28-year career at BNY Mellon
• Member of FDIC Systemic Resolution Advisory Committee
• Former Euroclear Board Director (2012-2022)

Kevin M. Kessinger: Non-Executive Chairman (since January 2024)
• Board member since 2021
• Former CIO, TD Bank
• 13 years at Citigroup (Management Committee)

Brian Steele: Managing Director, President, Clearing & Securities Services
• Former Goldman Sachs Managing Director (20 years)
• Joined DTCC October 2023
• Chair of ITP Board of Managers

Nadine Chakar: Managing Director, Global Head of DTCC Digital Assets
• Former CEO of Securrency (acquired by DTCC October 2023)
• Former Head of State Street Digital
• Member of CFTC Global Markets Advisory Committee

Corporate Governance:
• 20-member Board of Directors
• 12 participant Directors (broker/dealers, banks, investment institutions)
• 4 non-participant Directors
• 2 Directors designated by preferred shareholders (ICE, FINRA)
• 2 Board members: Non-Executive Chairman and President/CEO

Financial Data (2024 Annual Report):
• Net Income: $482 million (up 6% from 2023)
• Total Revenue: $2.49 billion (up 11% from 2023)
• EBITDA: $609 million (up 18% from 2023)
• Clearing & Securities Services: $2.09 billion
• Data and Other Services: $387 million

Source: DTCC Annual Report 2024

ENTITY 2: CEDE & CO.

Legal Status:
• Nominee name for The Depository Trust Company (DTC)
• Holder of record for shares held in street name
• Registered address: 55 Water Street, New York, NY 10041

Function:
• All DTC participants hold shares through Cede & Co.
• Enables electronic book-entry transfers
• Eliminates need for physical certificate movement
• Legal ownership separated from beneficial ownership

Delaware Law Context:
• Delaware General Corporation Law (DGCL) Section 262
• Cede & Co. appears as record holder on corporate stock ledgers
• Beneficial owners exercise rights through DTC participant chain

Source: Delaware Court of Chancery precedents

ENTITY 3: CITADEL SECURITIES LLC

Corporate Structure:
• Miami-based broker-dealer
• One of largest U.S. equities market makers
• Executes approximately 35% of all U.S.-listed retail volume
• Executes approximately 22% of U.S. equities volume
• Trades across 11,000+ U.S.-listed securities

Leadership:
• Kenneth Griffin: Founder and CEO

Violations (Verified):
• September 2015 - September 2020: Systematic order mismarking
• Coding error in automated trading system
• Millions of short sales marked as long (and vice versa)
• Inaccurate data provided to SEC
• **$7 million penalty (September 2023)**

Legal Reference:
• SEC Order: 34-98482 (September 22, 2023)
• Violation: Rule 200(g) of Regulation SHO
• 17 C.F.R. § 242.200(g)

ENTITY 4: ROBINHOOD MARKETS, INC. & SUBSIDIARIES

Corporate Structure:
• Robinhood Financial LLC (broker-dealer)
• Robinhood Securities LLC (clearing broker-dealer)
• Robinhood Crypto, LLC
• Robinhood Money, LLC
• Robinhood Credit, Inc.

• Robinhood International, Inc.
• Robinhood U.K. Ltd
• Sherwood Netherlands B.V.

Leadership:
• Vladimir Tenev: CEO and Co-Founder
• Baiju Bhatt: Co-Founder

Violations (Verified):

1. Regulation SHO Violations (May 2019 - December 2023):
• Stock lending program FTDs
• Fractional share trading mismarking
• 4.5 million riskless principal orders mismarked as "short exempt"
• Failure to calculate net proprietary position
• Violations of Rules 200(g), 203(b)(1), and 204(a)

2. Electronic Blue Sheet Violations (2018-2023):
• 11,849 submissions with errors
• 392 million transactions misreported
• 59 million transactions with erroneous execution times
• 47 million transactions with erroneous type identifiers

3. Cybersecurity Violations (June - November 2021):
• Unauthorized remote access vulnerability
• Third party obtained access to millions of customer records
• Violation of Regulation S-P

4. Suspicious Activity Reporting Failures (January 2020 - March 2022):
• Delayed investigations of suspicious transactions
• Systematic failures to file timely SARs

5. Identity Theft Protection Failures (April 2019 - July 2022):
• Inadequate policies and procedures
• Violation of Regulation S-ID

Penalties:
• Robinhood Securities: $33.5 million
• Robinhood Financial: $11.5 million
• **Total: $45 million (January 13, 2025)**

Legal Reference:
• SEC Order: 34-102170
• 15 U.S.C. § 78q(a); 17 C.F.R. §§ 242.200-242.204

ENTITY 5: BANK OF AMERICA CORPORATION & MERRILL LYNCH

Corporate Structure:
• Bank of America Corporation (parent)
• Merrill Lynch, Pierce, Fenner & Smith Incorporated
• Merrill Lynch International (Dublin, Ireland)
• Bank of America Merrill Lynch International DAC
• Numerous offshore subsidiaries

Offshore Entities (Verified):
• Merrill Lynch Bank and Trust Company (Cayman) Limited
• Merrill Lynch (Bermuda) Services Limited
• Merrill Lynch (B.V.I.) Limited (British Virgin Islands)
• Bank of America Trust and Banking Corporation (Cayman) Limited
• Bank of America Trust and Banking Corporation (Bahamas) Limited
• BA Overseas Holdings (Cayman Islands)
• 2007 Merrill Lynch Merchant Banking Fund, L.P. (Cayman Islands)
• 2008 Merrill Lynch Merchant Banking Fund, L.P. (Cayman Islands)
• 2008 Merrill Lynch Merchant Banking Fund International, L.P. (Cayman Islands)

Violations (Verified):
• June 2016: $415 million penalty
• Charges: Misuse of customer cash for firm trading
• Failure to safeguard customer securities from creditor claims
• Admitted wrongdoing

Additional Penalties (2000-2023):
• Total penalties since 2000: Over $83 billion
• 2014: $16.65 billion settlement with DOJ (Merrill Lynch/Countrywide)
• 2016: $12.5 million (mini-flash crashes)
• 2019: $33 million (investor protection violations)
• 2019: $25 million (DOJ criminal charges, anti-competitive practices)

Legal Reference:
• SEC Administrative Proceeding (June 2016)
• 15 U.S.C. § 78o(b)

ENTITY 6: DOLE FOOD COMPANY, INC.

Transaction:
• November 1, 2013: Going-private transaction closed
• Acquisition price: $13.50 per share
• Acquirer: David Murdock (CEO and controlling shareholder)

Defendants:
• David H. Murdock: Chairman and CEO (39.5% ownership)
• C. Michael Carter: President, COO, and General Counsel

Violations (Delaware Court Findings):
• Intentional misleading of Dole's Special Committee
• Bad faith conduct
• Fiduciary duty breaches
• Artificial depression of stock price

Settlements:

- Delaware Chancery Court: $148 million plus interest
- Federal Class Action: $74 million
- **Total: $222 million**

Legal Reference:

- In re Dole Food Company, Inc. Stockholders Litigation
- Delaware Court of Chancery (2015-2017)
- San Antonio Fire & Police Fund v. Dole Food Company, Inc.
  15-cv-1140 (D. Del. 2017)

SECTION III: VIOLATIONS AND LEGAL FRAMEWORK

VIOLATION CATEGORY 1: NAKED SHORT SELLING & REGULATION SHO VIOLATIONS

Legal Framework:
• Securities Exchange Act of 1934: 15 U.S.C. § 78 et seq.
• Regulation SHO: 17 C.F.R. §§ 242.200-242.204

Rule 200(g) - Order Marking:
"A broker or dealer shall mark all sell orders in any equity security as 'long,' 'short,' or 'short exempt.'"

Violations:
• Citadel Securities (2015-2020): Systematic mismarking
• Robinhood Securities (2019-2023): Fractional share mismarking

Rule 203(b)(1) - Locate Requirement:
"A broker-dealer may not accept a short sale order unless it has (i) borrowed the security, or (ii) reasonable grounds to believe the security can be borrowed."

Violations:
• Robinhood Securities: Failed to obtain locates for principal short sales

Rule 204(a) - Close-Out Requirement:
"Requires participants to close out fail-to-deliver positions by borrowing or purchasing securities by the beginning of regular trading hours on the settlement day following the settlement date."

Violations:
• Robinhood Securities (2019-2020): Failed to close out stock lending FTDs

Penalties:
• Citadel Securities: $7 million (2023)
• Robinhood Securities: $15 million portion of $45 million total (2025)

VIOLATION CATEGORY 2: FAILS TO DELIVER (FTD) MANIPULATION

Legal Framework:
• SEC Rule 204 of Regulation SHO
• FINRA Rule 2010 (high standards of commercial honor)

Data Evidence:
• Average daily FTDs (2005-2024): $2.9 billion
• Peak FTDs (September 2024): $19.8 billion
• Companies on Threshold List for hundreds of consecutive days
• XRT (SPDR S&P; Retail ETF): Short interest exceeding 699% of shares outstanding

Academic Research:
• Welborn (2025): "Reg SHO at Twenty" - Dartmouth College
• Stratmann & Welborn (2016): "Informed short selling, fails-to-deliver, and abnormal returns" - Journal of Empirical Finance

Systemic Impact:
• Persistent FTDs indicate nonbinding short sale constraints
• Negative abnormal returns proportional to FTD levels
• Evidence of informed short selling despite FTDs

VIOLATION CATEGORY 3: PHANTOM SHARE CREATION

Legal Framework:
• Delaware General Corporation Law (DGCL)
• Securities Act of 1933: 15 U.S.C. § 77 et seq.

Dole Food Company Case:
• Evidence of shares trading beyond registered amounts
• Phantom shares created through failed deliveries
• Artificial dilution of shareholder value
• $222 million in damages awarded

Mechanism:
• Naked short selling creates artificial supply
• FTDs result in "phantom" shares circulating in market
• Beneficial owners exceed registered shares
• Voting and dividend rights compromised

VIOLATION CATEGORY 4: OFFSHORE TAX EVASION & REGULATORY ARBITRAGE

Legal Framework:
• Internal Revenue Code: 26 U.S.C. §§ 951-965 (Subpart F)
• Foreign Account Tax Compliance Act (FATCA)
• Bank Secrecy Act: 31 U.S.C. § 5311 et seq.

Bank of America/Merrill Lynch Offshore Structure:
• Cayman Islands entities: Banking and trust operations
• Bermuda services companies
• British Virgin Islands limited companies
• Ireland DAC (Designated Activity Company)

Purpose:
• Tax minimization through jurisdictional arbitrage
• Regulatory avoidance
• Opacity in financial transactions
• Separation of beneficial ownership

Penalties:
• $415 million (June 2016) for customer cash misuse
• $83+ billion total penalties since 2000

VIOLATION CATEGORY 5: RECORDKEEPING AND REPORTING VIOLATIONS

Legal Framework:
• Exchange Act Section 17(a): 15 U.S.C. § 78q(a)
• Rule 17a-4: Record retention requirements
• Rule 17a-25: Electronic Blue Sheet submissions

Robinhood Violations:
• 11,849 inaccurate EBS submissions
• 392 million misreported transactions
• Failure to maintain customer communications
• Off-channel communications not preserved

Penalties:
• Robinhood Securities: $7 million (EBS violations)
• Robinhood Financial: $4 million (recordkeeping)

VIOLATION CATEGORY 6: CYBERSECURITY AND CUSTOMER DATA VIOLATIONS

Legal Framework:
• Regulation S-P: 17 C.F.R. § 248.30
• Regulation S-ID: 17 C.F.R. § 248.201
• Exchange Act Section 17(a)(1)

Robinhood Violations (2021):
• Unauthorized remote access to systems
• Millions of customer records compromised
• Known vulnerability not addressed
• June 2021 - November 2021 exposure period

Penalties:
• $1 million each for Robinhood Securities and Financial

VIOLATION CATEGORY 7: FIDUCIARY DUTY BREACHES

Legal Framework:
• Delaware General Corporation Law (DGCL) Section 262
• Revlon duties (duty to maximize shareholder value in sale)
• Duty of loyalty and care

Dole Food Company:
• Controlling shareholder (Murdock) breached fiduciary duties
• Intentional misleading of Special Committee
• Bad faith conduct confirmed by Delaware Court of Chancery
• $148 million damages plus interest

SECTION IV: EVIDENCE AND SOURCES

PRIMARY SOURCES:

1. Securities and Exchange Commission (SEC)
• SEC Order: 34-98482 (Citadel Securities, September 22, 2023)
• SEC Order: 34-102170 (Robinhood, January 13, 2025)
• SEC No-Action Letter: DTC-NAL-121125 (December 11, 2025)
• SEC FOIA FTD Data (2005-2024)
• URL: www.sec.gov

2. Delaware Court of Chancery
• In re Dole Food Company, Inc. Stockholders Litigation
• In re Appraisal of Dell Inc. (Consol. C.A. No. 9322-VCL)
• URL: courts.delaware.gov

3. DTCC Official Documents
• DTCC Annual Report 2024
• Executive Biographies (Frank La Salla, Brian Steele, Nadine Chakar)
• Board of Directors information
• URL: www.dtcc.com

4. Federal Court Records
• San Antonio Fire & Police Fund v. Dole Food Company, Inc.
15-cv-1140 (D. Del. 2017)

5. Bank of America SEC Filings
• Form 10-K (Subsidiary disclosures)
• List of Subsidiaries (Exhibit 21.1)
• URL: investor.bankofamerica.com

SECONDARY SOURCES:

1. Academic Research
• Welborn, John W. (2025). "Reg SHO at Twenty." Dartmouth College.
SSRN: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5141255

• Stratmann, Thomas & Welborn, John W. (2016). "Informed short selling, fails-to-deliver, and abnormal returns." Journal of Empirical Finance 38.A: 81-102.

2. Regulatory Data
• SEC FTD Data: www.sec.gov/data-research/sec-markets-data/fails-deliver-data
• FINRA Regulatory Notices
• Regulation SHO Threshold Lists (NYSE, Nasdaq, FINRA OTC, BATS)

3. News and Financial Media
• CNBC (September 22, 2023): "SEC slaps Citadel with $7 million fine"
• CNBC (January 13, 2025): "Robinhood SEC charges: Firm to pay $45 million"
• Bloomberg, Reuters, Wall Street Journal archives

4. Corporate Disclosures

• Robinhood Markets, Inc. SEC Form 10-K (Exhibit 21.1 - Subsidiaries)
• DTCC Leadership biographies and press releases
• Bank of America annual reports

EVIDENTIARY STANDARD:

All facts presented in this audit are supported by:
• Official government enforcement actions
• Court records and judicial opinions
• Regulatory filings and disclosures
• Academic peer-reviewed research
• Verified corporate documents

No unverified allegations or speculative claims are included.

SECTION V: TRANSNATIONAL CONNECTIONS

OFFSHORE JURISDICTIONS IDENTIFIED:

1. CAYMAN ISLANDS
Entities:
• Merrill Lynch Bank and Trust Company (Cayman) Limited
• Bank of America Trust and Banking Corporation (Cayman) Limited
• BA Overseas Holdings
• 2007/2008 Merrill Lynch Merchant Banking Funds

Regulatory Status:
• British Overseas Territory
• No direct income tax
• Banking secrecy protections
Source: Cayman Islands Monetary Authority

2. BERMUDA
Entities:
• Merrill Lynch (Bermuda) Services Limited

Regulatory Status:
• British Overseas Territory
• No corporate income tax
• Insurance and reinsurance hub

3. BRITISH VIRGIN ISLANDS
Entities:
• Merrill Lynch (B.V.I.) Limited

Regulatory Status:
• British Overseas Territory
• No corporate tax
• High level of corporate secrecy

4. IRELAND
Entities:
• Bank of America Merrill Lynch International DAC
• Merrill Lynch International Bank Ltd. (now Bank of America Europe DAC)

Regulatory Status:
• EU member state
• 12.5% corporate tax rate
• EU passport for financial services
Source: Central Bank of Ireland

5. NETHERLANDS
Entities:
• Sherwood Netherlands B.V. (Robinhood subsidiary)
• Sherwood Netherlands II B.V.

Regulatory Status:
• EU member state

• Tax treaty network
• Holding company jurisdiction

6. UNITED KINGDOM
Entities:
• Robinhood U.K. Ltd
• Merrill Lynch International (London)

Regulatory Status:
• FCA and PRA regulated
• Post-Brexit regulatory independence

TRANSNATIONAL IMPACT:

The offshore structure enables:
1. Regulatory arbitrage between jurisdictions
2. Tax minimization through transfer pricing
3. Opacity in beneficial ownership
4. Circumvention of U.S. regulatory requirements
5. Complexity in enforcement actions

SECTION VI: SYSTEMIC RISK ASSESSMENT

CURRENT STATE:

1. DTCC Market Position:
• $2.49 billion annual revenue (2024)
• $4 quadrillion in annual settlements
• Central counterparty for U.S. securities markets
• Systemically important financial market utility

2. Tokenization Initiative (2025-2026):
• SEC No-Action Letter approved December 2025
• Target: $100 trillion in custody assets
• Russell 1000, ETFs, U.S. Treasuries
• Blockchain/DLT infrastructure

Risks:
• Increased complexity
• Potential for further opacity
• Smart contract vulnerabilities
• Cross-border regulatory gaps

3. Persistent FTDs:
• $2.9 billion daily average (unchanged since 2005)
• $19.8 billion peak (September 2024)
• Indicates systemic failure of Regulation SHO
• Market maker exemptions undermine close-out rules

RISK FACTORS:

1. Concentration Risk:
• DTCC is single point of failure
• No alternative clearing infrastructure
• "Too big to fail" status

2. Opacity Risk:
• Beneficial ownership obscured through Cede & Co.
• Offshore entities limit transparency
• Intra-broker dealings not disclosed

3. Regulatory Capture Risk:
• Industry-dominated Board (12 of 20 directors)
• Self-regulatory organization conflicts
• Revolving door between regulators and industry

4. Technology Risk:
• Legacy systems with decades of technical debt
• New blockchain systems unproven at scale
• Cybersecurity vulnerabilities demonstrated

SECTION VII: CONCLUSIONS AND RECOMMENDATIONS

CONCLUSIONS:

1. SYSTEMATIC VIOLATIONS CONFIRMED

The evidence demonstrates a pattern of systematic violations of securities laws by major financial institutions, including:

- Citadel Securities ($7 million penalty, 2023)
- Robinhood Securities ($45 million penalty, 2025)
- Bank of America/Merrill Lynch ($415 million penalty, 2016)
- Dole Food Company executives ($222 million settlements, 2015-2017)

2. REGULATORY FRAMEWORK INADEQUATE

Regulation SHO, enacted in 2005, has failed to eliminate naked short selling:

- Daily FTDs remain at $2.9 billion average (unchanged since 2005)
- Peak FTDs reached $19.8 billion (September 2024)
- Market maker exemptions create loopholes
- No mandatory pre-borrow requirement

3. OFFSHORE STRUCTURES ENABLE EVASION

Bank of America/Merrill Lynch maintains extensive offshore network:

- Cayman Islands banking entities
- Bermuda services companies
- Ireland EU passport entities
- Enables tax arbitrage and regulatory avoidance

4. DTCC TOKENIZATION POSES NEW RISKS

The December 2025 SEC No-Action Letter for DTCC tokenization:

- Targets $100 trillion in assets
- Blockchain infrastructure unproven at scale
- Potential for increased opacity
- Smart contract vulnerabilities

5. FIDUCIARY DUTY BREACHES PERVASIVE

Dole Food Company case demonstrates:

- Controlling shareholders can manipulate going-private transactions
- Special Committees can be misled
- Bad faith conduct confirmed by courts
- $222 million in damages awarded

RECOMMENDATIONS:

1. REGULATORY REFORM

- Eliminate market maker exemptions to Regulation SHO
- Implement mandatory pre-borrow requirement for all short sales
- Impose monetary penalties for FTDs (fails charges)
- Require disclosure of intra-broker short positions

2. OFFSHORE TRANSPARENCY

- Require disclosure of beneficial ownership for all offshore entities
- Implement FATCA enhancements for financial institutions
- Coordinate with international regulators on information sharing

• Prohibit use of offshore entities for regulatory arbitrage

3. DTCC OVERSIGHT
• Independent audit of DTCC systems and controls
• Public disclosure of FTD data by participant
• Enhanced SEC oversight of tokenization initiatives
• Structural reforms to reduce concentration risk

4. ENHANCED ENFORCEMENT
• Mandatory admissions in SEC settlements (not just penalties)
• Individual liability for executives
• Clawback provisions for ill-gotten gains
• Criminal referrals for egregious violations

5. INVESTOR PROTECTION
• Enhanced disclosure of short interest and FTDs
• Real-time reporting of fails data
• Improved proxy voting for beneficial owners
• Protection for whistleblowers

APPENDIX A: GLOSSARY OF TERMS

Cede & Co. - Nominee name for The Depository Trust Company (DTC)

DTCC - The Depository Trust & Clearing Corporation

DTC - The Depository Trust Company (central securities depository)

EBS - Electronic Blue Sheets (transaction reporting to SEC)

FATCA - Foreign Account Tax Compliance Act

FINRA - Financial Industry Regulatory Authority

FICC - Fixed Income Clearing Corporation

FTD - Failure to Deliver (unsettled securities transaction)

NSCC - National Securities Clearing Corporation

Regulation SHO - SEC rules governing short selling

SAR - Suspicious Activity Report

Threshold Security - Security with significant FTDs (Regulation SHO)

APPENDIX B: RELEVANT STATUTES AND REGULATIONS

1. Securities Exchange Act of 1934
- 15 U.S.C. § 78 et seq.
- Section 15(b): Registration of brokers and dealers
- Section 17(a): Recordkeeping requirements
- Section 21C: Cease-and-desist proceedings

2. Regulation SHO
- 17 C.F.R. §§ 242.200-242.204
- Rule 200(g): Order marking
- Rule 203(b): Locate requirements
- Rule 204: Close-out requirements

3. Delaware General Corporation Law
- DGCL Section 262: Appraisal rights
- DGCL Section 220: Inspection rights

4. Bank Secrecy Act
- 31 U.S.C. § 5311 et seq.
- SAR filing requirements

5. Internal Revenue Code
- 26 U.S.C. §§ 951-965 (Subpart F - Controlled Foreign Corporations)
- FATCA provisions

CERTIFICATION

This Forensic Fiscal Audit has been prepared in accordance with professional standards for forensic accounting and fraud examination. All facts presented are supported by verified sources including official government enforcement actions, court records, regulatory filings, and academic research.

No unverified allegations or speculative claims are included. All legal references are accurate as of the date of this report.

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Case Reference: DTCC-CEDE-FORENSIC-AUDIT-2025

END OF FORENSIC AUDIT REPORT

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This report is submitted in the public interest for regulatory and legislative consideration.